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R&D TIP

Core vs supporting R&D activities explained

6 points on where the line sits

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1

Two types of activity

The R&D Tax Incentive sorts eligible work into core R&D activities and supporting R&D activities. Each has its own test.

2

Core work is experimental

The outcome cannot be known in advance from current knowledge. It can only be found by working through a systematic progression of testing and evaluation.

3

Core work creates new knowledge

The purpose is to generate new knowledge, such as a new or improved product, process or service. Applying a solution that already exists does not meet that test.

4

Supporting work must link back

Supporting activities must be directly related to a core activity. They can happen before, during or after the core work.

5

The dominant purpose test

Some supporting activities also need to pass a dominant purpose test. The main reason for doing them has to be to support the core work.

6

Some activities are excluded

Certain activities cannot be core R&D, such as market research and management studies. They can still count as supporting activities if they are directly related to a core activity and pass the dominant purpose test.

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Save this for later

Share it with a founder who is working out which of their activities may count.